

MGT201 (Mega File)

Mid Term (Live Quiz)

PAID VU LMS HANDLING by Mam Mehwish

03184148783

Past Papers for Mids./Finals are also Available

1. A true value of an asset that provides information to make right investment decision is called:
 - ☐ Intrinsic value ✓
 - ☐ Face value
 - ☐ Book value
 - ☐ Par value
2. The inventory turnover and receivable turnover take 60 days and 30 days, respectively. What will be the operating cycle, if payable turnover takes 45 days?
 - ☐ 90 days ✓
 - ☐ 75 days
 - ☐ 105 days
3. In three stage growth model of common stock valuation:
 - ☐ All of the given options are correct ✓
 - ☐ Dividend stream in third stage will be infinite
 - ☐ Dividend streams in first and second stage will be finite
 - ☐ Dividends of first and second stage will be discounted using discount rate
4. If the intrinsic value of a bond is Rs. 3,500 then an investor should buy the bond at a market price of:
 - ☐ Rs. 3,600
 - ☐ Rs. 3,550

- Rs. 3,000 ✓
- 5. Which of the following is referred to as a statement of financial position?
 - Balance sheet ✓
 - Income statement
 - Cash flow statement
 - Statement of changes in equity
- 6. A measure that shows the time duration in which we actually realize cash from our business is called:
 - Cash conversion cycle ✓
 - Trade cycle
 - Operating cycle
 - Credit cycle
- 7. If a company has 25% increase in its earnings, the dividend received by preferred shareholders will... while the dividend of common shareholders will...
 - Remain constant; Increase ✓
 - Decrease; Increase
 - Increase; Decrease
 - Increase; Remain constant
- 8. The inventory turnover and receivable turnover take 45 days and 30 days, respectively. What will be the cash conversion cycle if payable turnover takes 60 days?
 - 15 days ✓
 - 30 days
 - 45 days
- 9. The lesser the cash conversion cycle, the higher will be the:
 - Payable turnover of a company
 - Inventory turnover of a company
 - Liquidity of a company ✓
 - Risk of a company
- 10. If we compare each component of financial statement with any benchmark item of that statement, this analysis is called:

- Trend analysis
- Differential analysis
- Vertical analysis ✓
- Index analysis

1. **A perpetual bond has a coupon rate of 12% and the face value of Rs. 1000. The required rate of return is 10% per year. The coupon payment on the bond will be:**

- Rs. 100
- **Rs. 120** ✓
- Rs. 1,200

2. **When a business purchases some goods or services on credit, it results in:**

- Spontaneous financing ✓
- Equity financing
- Long term debt financing
- None of the given options is correct

3. **A true value of an asset that provides information to make right investment decision is called:**

- **Intrinsic value** ✓
- Par value
- Book value
- Face value

4. **Cash flow is generated through all of the following activities, Except:**

- Operating activities
- Investing activities
- Financing activities
- **Contingent activities** ✓

5. **All of the following are part of gross working capital, except:**

- Stores and spares
- **Accrued expenses** ✓
- Prepayments

- Trade debts
- 6. The inventory turnover and receivable turnover take 60 days and 30 days, respectively. What will be the operating cycle, if payable turnover takes 45 days?
 - 105 days ☒
 - 30 days
 - 78 days
- 7. The value that represents one segment of a business rather than the overall business is known as:
 - Break-up value ☒
 - Fair value
 - Going concern value
 - Intrinsic value
- 8. To calculate the present value of a coupon bond, we use the following equation (Where R is coupon payment, r is interest rate, n is number of compounding period, MV is maturity value):
 - Present value = $R \times \{1 - (1+r)^{-n}\} / r + MV / (1+r)^n$
 - Present value = $R \times \{1 - (1+r)^{-n}\} / r + MV / (1+r)^n$ ☒
 - Present value = $R / \{1 - (1+r)^{-n}\} \times r + MV \times (1+r)^n$
 - Present value = $R \times \{1 - (1+r)^{-n}\} \times r + MV \times (1+r)^n$
- 9. A preferred share pays a dividend of Rs. 6 per year and the required rate of return by investors is 8%. The present value of preferred share will be:
 - Rs. 68
 - Rs. 75 ☒
 - Rs. 80
 - Rs. 92
- 10. The earning per share of a company is Rs. 8, and the current market price of the share is Rs. 64, then earning yield of the company will be:
 - 12.5% ☒
 - 18.5%
 - 25.5%

❑ **Computation of financial ratios and their analysis are beneficial to:**

- Potential Business Partners
- Lenders or Creditors
- All of the given options are correct ✓
- Shareholders

❑ **Which one of the following features of preferred shares adds up and carries forward the unpaid dividend to the next period?**

- Redemption
- Conversion
- Participation
- Cumulation ✓

❑ **Degree of external financing maintained by a company can be assessed through:**

- Coverage ratio
- Profitability ratio
- Liquidity ratio
- Leverage ratio ✓

❑ **If market price of a common stock is less than or equal to its intrinsic value then:**

- It should be purchased because it will give higher return ✓
- It should not be purchased because it will give lower return
- None of the given options is correct
- Both of the given options are correct

❑ **When a business purchases some goods or services on credit, it results in:**

- Spontaneous financing ✓
- None of the given options is correct
- Long term debt financing
- Equity financing

❑ **In three stage growth model of common stock valuation:**

- Dividend stream in third stage will be infinite
- Dividend streams in first and second stage will be finite

- All of the given options are correct ✓
- Dividends of first and second stage will be discounted using discount rate

❓ **Book value per share refers to:**

- Market price of shares divided by face value of shares
- Cost minus accumulated depreciation of assets
- Total equity of shareholders divided by the number of outstanding shares ✓
- Total debt divided by total equity

❓ **The formula to compute present value of preferred shares is:**

- Present value = Dividend/Growth rate
- Present value = Dividend/Required rate of return ✓
- Present value = Future Value/Growth rate
- Present value = Future Value/Dividend rate

❓ **Of common stock valuation is similar to preferred stock valuation because of the feature of constant and infinite stream of dividends.**

- Zero growth model ✓
- Growth in stages model
- Constant growth model
- All of the given models

❓ **If a business is not expected to discontinue its operations in the foreseeable future, then it is termed as:**

- All of the given options are correct
- Liquidation phase
- Incubation stage
- Going concern ✓

1. **Which of the following ratios excludes the least liquid assets like inventory and prepayments from current assets of a company?**

- ☐ Quick ratio
- ☐ Net working capital

- ☐ Current ratio
 - ☐ Cash conversion cycle
 - ☒ Quick ratio
2. Which of the following is referred to as a statement of financial position?
- ☒ Balance sheet
 - ☐ Statement of changes in equity
 - ☐ Cash flow statement
 - ☐ Income statement
3. If a company retains profit for some general or specific purpose, then it is reported under the head of:
- ☐ Retained profit
 - ☐ Additional capital
 - ☒ Reserves
 - ☐ None of the given options is correct
4. A zero coupon is issued for 2 years with a maturity value of Rs. 500. What will be the intrinsic value of this bond, if the interest rate is 12% per annum?
- ☒ Rs. 398.6
 - ☐ Rs. 464.2
 - ☐ Rs. 389.6
5. If average equity of a company is Rs. 1,250,000, net profit is Rs. 500,000 and average assets are Rs. 2,500,000, then the return on equity will be:
- ☒ 40%
 - ☐ 30%
 - ☐ 60%
 - ☐ 20%
6. If net sales of a company is Rs. 1,500,000 this year, net profit is Rs. 250,000 and average assets are Rs. 500,000, then asset turnover ratio will be:
- ☐ 0.50 times
 - ☒ 3.00 times

- ☐ 2.00 times
 - ☐ 0.33 times
7. Which of the following turnover ratios measures the credit period provided by a company to its customers to pay back cash?
- ☐ Inventory turnover ratio
 - ☒ Receivables turnover ratio
 - ☐ Asset turnover ratio
 - ☐ Payable turnover ratio
8. Bonds that are issued for infinite period of time are called:
- ☒ Perpetual bonds
 - ☐ Infinix bonds
 - ☐ Corporate bonds
 - ☐ Sukuk bonds
9. If earnings before interest and taxes are Rs. 90,000, net profit is Rs. 50,000 and interest expense is Rs. 25,000, then interest coverage ratio will be:
- ☐ 0.50 times
 - ☒ 3.60 times
 - ☐ 2.00 times
10. Which of the following is the example of common size analysis of balance sheet?
- ☒ All of the given options are correct
 - ☐ (Cash in hand/ Total assets) x 100
 - ☐ (Total assets of current year/ Total assets of base year) x 100
 - ☐ Fixed assets of current year/ Total assets of previous year
1. To calculate the present value of a coupon bond, we use the following equation (Where R is coupon payment, r is interest rate, n is number of compounding period, MV is maturity value):
- Present value = $R \times \{1 - (1+r)^{-n}\} \times r + MV \times (1+r)^{-n}$
 - Present value = $R \times \{1 - (1+r)^{-n}\} / r + MV / (1+r)^{-n}$ ✓
 - Present value = $R / \{1 - (1+r)^{-n}\} \times r + MV \times (1+r)^{-n}$

- Present value = $R \times \{1 - (1+r)^{-n}\} / r \times MV / (1+r)^n$
2. The earning per share of a company is Rs. 8, and the current market price of the share is Rs. 64, then earning yield of the company will be:
- 20%
- 12.5% ✓
- 25.5%
- 18.5%
3. If average equity of a company is Rs. 1,250,000, net profit is Rs. 500,000 and average assets are Rs. 2,500,000, then the return on equity will be:
- 20%
- 30%
- 40% ✓
- 60%
4. Degree of external financing maintained by a company can be assessed through:
- Liquidity ratio
- Leverage ratio ✓
- Profitability ratio
- Coverage ratio
5. If an investor holds a common stock for a certain period of time, then the intrinsic value of that stock will be based on:
- Sum of the present value of dividend stream received during the holding period
- The present value of the price at which stock is sold at the end of the holding period
- Sum of the present values of dividend stream and stock price at the end of the holding period ✓
- None of the given options are correct
6. If book value of a share is Rs. 25 and total equity of a company is Rs. 450,000, then the total number of outstanding shares will be:
- 25,000
- 15,000 ✓
- 45,000

7. The formula to compute the present value of preferred shares is:

- ☐ Present value = Future Value/Growth rate
- ☐ Present value = Dividend/Required rate of return ✓
- ☐ Present value = Dividend/Growth rate
- ☐ Present value = Future Value/Dividend rate

8. If a company retains profit for some general or specific purpose, then it is reported under the head of:

- ☐ None of the given options is correct
- ☐ Retained profit
- ☐ Reserves ✓
- ☐ Additional capital

9. The amount of coupon payment paid or received against a bond till the time of maturity of the bond acts as a(an):

- ☐ Mixed cash flow
- ☐ Perpetuity
- ☐ Annuity ✓
- ☐ Maturity value

10. Generally, as the level of liquidity increases, the level of _____

- ☐ Working capital decreases
- ☐ Debt increases
- ☐ Risk increases
- ☐ Profitability decreases ✓

1. Which of the following components of cash conversion cycle can benefit or provide leverage to a company if it is delayed?

- ☐ ✗ Receivable turnover in days
- ☐ ✗ Inventory turnover in days
- ☒ Payable turnover in days
- ☐ ✗ All of the given options

2. The cash conversion cycle of a company is 60 days and inventory turnover takes 30 days. If payable turnover takes 45 days, then the trade cycle will be:

- ☒ 75 days
- ☐ 105 days
- ☐ 15 days

3. If net working capital of a company is Rs. 50,000 and current liabilities are Rs. 120,000, then:

- ☐ Gross working capital will be Rs. 70,000
- ☐ Quick assets will be Rs. 170,000
- ☒ Current assets will be Rs. 170,000
- ☐ Net current assets will be Rs. 70,000

4. If a company has 25% increase in its earnings, the dividend received by preferred shareholders will:

- ☐ Decrease; Increase
- ☒ Increase; Remain constant
- ☐ Remain constant; Increase
- ☐ Increase; Decrease

5. Availability of cash or cash equivalents to an organization can be assessed through:

- ☐ Leverage ratio
- ☒ Liquidity ratio
- ☐ Profitability ratio
- ☐ Activity ratio

6. If total debt of a company is Rs. 1,000,000 out of which short term debt is 450,000 and total asset are Rs. 1,100,000, then long term debt to total assets ratio will be:

- ☒ 50%
- ☐ 45%
- ☐ 41%
- ☐ 63%

7. When a business purchases some goods or services on credit, it results in:

- ☐ None of the given options is correct
- ☒ Spontaneous financing
- ☐ Equity financing
- ☐ Long term debt financing

8. One of the conditions to evaluate preferred shares is that the dividend must be:

- ☐ Constantly increasing
- ☐ Perpetually increasing
- ☒ Perpetually constant
- ☐ Constantly decreasing

9. A perpetual bond has a coupon rate of 12% and the face value of Rs. 1000. The required rate of return is 10% per year. The coupon payment on the bond will be:

- ☐ Rs. 200
- ☐ Rs. 100
- ☒ Rs. 120

10. Marketing, general and financial expenses are generally covered under the head of in income statement.

- ☐ Direct expenses
- ☒ Operating expenses
- ☐ All of the given options are correct
- ☐ Cost of sales

❓ Which one of the following models is not applicable if required rate of return on an investment is less than the growth rate of a company?

- Modigliani Miller Model
- Dividend Discount Model
- Miller-Orr Model ☒
- Capital Asset Pricing Model

❓ The value of a security in the equity or bond market is called:

- Written down value

- Par value
- Market value ☒
- Intrinsic value

? Which of the following is referred to as a statement of financial position?

- Balance sheet ☒
- Income statement
- Cash flow statement
- Statement of changes in equity

? If gross profit of a company is Rs. 350,000 and net sales are Rs. 800,000, then gross profit margin will be:

- 46.65%
- 43.75% ☒
- 56.65%

? One of the assumptions of two-stage growth model is:

- Growth is the function of required rate of return
- Dividend payout ratio may vary once
- External factors may vary
- Retention ratio remains constant ☒

? If credit sales of a company are Rs. 700,000, average receivables are Rs. 80,000 and cash is Rs. 250,000; then receivable turnover will be:

- 3.13 times
- 5.63 times
- 8.75 times ☒
- 1.88 times

? The dividend per share of a company is Rs. 4, and the current market price of the share is Rs. 64, then dividend yield of the company will be:

- 4.25%
- 12.25%
- 6.25% ☒

- 8.25%

❓ If a company retains profit for some general or specific purpose, then it is reported under the head of:

- Retained profit
- Reserves ☒
- None of the given options is correct
- Additional capital

❓ Liquidation value of a company refers to:

- Maximum value of securities at the time of starting a company
- Value of securities at the time of winding up a company ☒
- Ability of a company to quickly convert current assets into cash
- Frequent selling and buying of assets by a company in a market

❓ Which of the following feature(s) differentiates preferred shareholders from common shareholders?

- The dividend distributed to preferred shareholders is pre-determined
- All of the given options are correct ☒
- The preferred shareholders have priority claim in liquidation
- The preferred shareholders have the first right to receive dividend

1. Generally, as the level of liquidity increases, the level of:

- Risk increases ☒
- Working capital decreases
- Profitability decreases
- Debt increases

2. Which one of the following dividend discount models assumes that all profit earned by a company is distributed as dividend?

- Growth in stages model
- All of the given models

- Zero growth model ☒
 - Constant growth model
-

3. A perpetual bond has a coupon rate of 12% and the face value of Rs. 1000. The required rate of return is 10% per year. The coupon payment on the bond will be:

- Rs. 120 ☒
 - Rs. 1,200
 - Rs. 200
-

4. The cash conversion cycle of a company is 60 days and inventory turnover takes 30 days. If payable turnover takes 45 days, then the trade cycle will be:

- 75 days
 - 15 days ☒
 - 105 days
-

5. If net working capital of a company is Rs. 50,000 and current liabilities are Rs. 120,000, then:

- Current assets will be Rs. 170,000 ☒
 - Quick assets will be Rs. 170,000
 - Net current assets will be Rs. 70,000
 - Gross working capital will be Rs. 70,000
-

6. The inventory turnover and receivable turnover take 60 days and 30 days, respectively. What will be the operating cycle, if payable turnover takes 45 days?

- 30 days
 - 78 days
 - 90 days ☒
-

7. The value that represents one segment of a business rather than the overall business is known as:

- Fair value

- Intrinsic value
- Going concern value
- Break-up value ☒

8. The earning per share of a company is Rs. 8, and the current market price of the share is Rs. 64, then earning yield of the company will be:

- 12.5% ☒
- 25.5%
- 18.5%
- 20%

9. If credit sales of a company are Rs. 700,000, average receivables are Rs. 80,000 and cash is Rs. 250,000; then receivable turnover will be:

- 3.13 times ☒
- 1.88 times
- 5.63 times

10. One of the distinguishing features of preferred shares is:

- The dividend not paid in any period cannot be carried forward
- Preferred shares are convertible into any other form of securities of a company
- Preferred shareholders cannot participate in the distribution of remaining profit ☒
- A company cannot redeem preferred shares once these are issued

❓ All of the following are the types of debt instrument, Except:

- Sukuk
- Debentures
- Treasury Stock ☒
- Term Finance Certificates

❓ The dividend distributed to preferred shareholders is dependent on:

- Interest paid to the bondholders of a company
- Dividend received by common shareholders of a company
- Market interest rates variability
- Profit earned by a company ✓

❓ Which one of the following liquidity ratios excludes the least liquid assets like inventory and prepayments from current assets of a company?

- Cash conversion cycle
- Net working capital
- Current ratio
- Quick ratio ✓

❓ The inventory turnover and receivable turnover take 60 days and 30 days, respectively. What will be the operating cycle, if payable turnover takes 45 days?

- 90 days
- 105 days ✓
- 78 days

❓ The cash conversion cycle of a company is 60 days and inventory turnover takes 30 days. If payable turnover takes 45 days, then the trade cycle will be:

- 15 days ✓
- 78 days
- 90 days
- 105 days

❓ The cash conversion cycle of a company is 60 days and inventory turnover takes 30 days. If payable turnover takes 45 days, then the trade cycle will be:

- 75 days ✓
- 90 days
- 105 days

❓ The value of a security in the equity or bond market is called:

- Written down value
- Market value ✓
- Intrinsic value

- Par value

❓ **Liquidation value of a company refers to:**

- Maximum value of securities at the time of starting a company
- Value of securities at the time of winding up a company ✓
- Ability of a company to quickly convert current assets into cash
- Frequent selling and buying of assets by a company in a market

❓ **If the intrinsic value of a bond is Rs. 3,500 then an investor should buy the bond at a market price of:**

- Rs. 3,550 ✓
- Rs. 3,600
- Rs. 4,000

❓ **Bonds that are issued for infinite period of time are called:**

- Infinix bonds
- Corporate bonds
- Perpetual bonds ✓
- Sukuk bonds

❓ **Marketing, general and financial expenses are generally covered under the head of in income statement.**

- Direct expenses
- All of the given options are correct
- Cost of sales
- Operating expenses ✓

1. Arranging funds from different available sources for smooth operation of a business is linked with:

- ☐ Operating activities
 - ☒ None of the given options is correct
 - ☒ Financing activities
 - ☐ Investing activities
-

2. What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 12% is monthly?

- ☐ 12%
 - ☒ 12.68%
 - ☐ 12.12%
-

3. Issuance of _____ give ownership rights.

- ☐ All of the given options
 - ☐ Debentures
 - ☒ Common shares
 - ☐ Bonds
-

4. With the help of cash budget, a finance manager can estimate:

- ☐ Cash balances at the beginning of a period
 - ☐ Sources of cash inflows and outflows
 - ☒ All of the given options are correct
 - ☐ Cash balance surplus or deficit in the future period
-

5. The future value of perpetuity is infinite because:

- ☒ Time period is infinite
 - ☐ Number of installments is finite
 - ☐ Interest rate is infinite
 - ☐ All of the given options are correct
-

6. What will be the present value, if we get Rs. 6,615 after two years, given that the compound interest rate is 5% per year?

- ☒ Rs. 6,000
- ☐ Rs. 6,215
- ☐ Rs. 6,500
- ☐ Rs. 6,300

7. The advantage(s) of having foreign banks in a country is/are:

- ☐ It provides sophisticated financial services
- ☒ All of the given options are correct
- ☐ It brings in foreign investment in a country
- ☐ It promotes efficiency in local banks' performance

8. Financial management includes all of the following activities, Except:

- ☐ Devising the rules for corporate governance
- ☐ Management of assets
- ☐ Management of investing activities
- ☒ Conducting a financial analysis

9. A series of payments received or paid at the end of each period is called:

- ☐ Present value of an annuity
- ☐ Annuity due
- ☐ Future value of an annuity
- ☒ Ordinary annuity

10. The formula to compute the future value of an investment with continuous compounding is:

- ☐ $\text{Future Value} = \text{Present value} * e^{(\text{interest rate}/\text{time in years})}$
- ☐ $\text{Future Value} = \text{Present value}^{(\text{interest rate} * \text{time in years})}$
- ☐ $\text{Future Value} = \text{Present value} / e^{(\text{interest rate} * \text{time in years})}$
- ☒ $\text{Future Value} = \text{Present value} * e^{(\text{interest rate} * \text{time in years})}$

1. The rate of interest which is adjusted for shorter period of compounding is called:

- Real rate of interest
- Nominal rate of interest ✓

- All of the given options are correct
 - Effective rate of interest
- 2. **The institutions that provide services which may include but not limited to extending loan for social and community benefits, getting involved in joint ventures, providing factoring service and arranging crowd funding are called:**
 - Stock Exchange
 - Non-Banking Financial Companies ✓
 - Central Banks
 - Federal Board of Revenue
- 3. **What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 12% is monthly?**
 - 112%
 - 12.68% ✓
 - 12.12%
 - 12.78%
- 4. **Financial management includes all of the following activities, Except:**
 - Management of investing activities
 - Conducting a financial analysis
 - Management of assets
 - Devising the rules for corporate governance ✓
- 5. **A series of payments received or paid at the end of each period is called:**
 - Present value of an annuity
 - Ordinary annuity ✓
 - Annuity due
 - Future value of an annuity
- 6. **Which of the following claims about equity financing is correct?**
 - Profit earned by a business is an internal source of equity financing ✓
 - Equity financing can only be obtained through external sources of financing
 - Dividend rate for both preferred and common shares is same

- ☐ Preferred shareholders provide more funds than common shareholders to a business
7. **An Islamic banking instrument in which two parties invest money and profit or loss is shared based upon a stipulated ratio is called:**
- ☐ Musharaka ✓
 - ☐ Murabaha
 - ☐ Ijara
 - ☐ Modaraba
8. **If Rs. 100 is continuously compounded at the rate of 5% for 5 years, then future value of Rs. 100 will be:**
- ☐ Rs. 105.7
 - ☐ Rs. 120
 - ☐ Rs. 127.6 ✓
 - ☐ Rs. 128.4
9. **What will be the present value, if we get Rs. 5,250 after one year, given that the interest rate is 5% per year?**
- ☐ Rs. 4,500
 - ☐ Rs. 5,000 ✓
 - ☐ Rs. 4,850
 - ☐ Rs. 5,150
10. **What will be the future value of Rs. 2,000 invested at the rate of 5% compounded annually for the period of 2 years?**
- ☐ Rs. 2,025
 - ☐ Rs. 2,250
 - ☐ Rs. 2,200
 - ☐ Rs. 2,205 ✓

1. Investing activities of a business include(s):

- ☒ All of the given options are correct ✓
- ☐ Investment in short term securities of other companies
- ☐ Investment in long term and short term assets

- ☐ Investment in shares of other companies
-

2. Which of the following claims about equity financing is correct?

- ☐ Dividend rate for both preferred and common shares is same
 - ☐ Profit earned by a business is an internal source of equity financing ☒
 - ☐ Preferred shareholders provide more funds than common shareholders to a business
 - ☐ Equity financing can only be obtained through external sources of financing
-

3. Financial management includes all of the following activities, Except:

- ☐ Management of assets
 - ☐ Management of investing activities
 - ☐ Conducting a financial analysis
 - ☐ Devising the rules for corporate governance ☒
-

4. What will be the future value of Rs. 10,000 invested at the rate of 8% compounded annually for the period of 2 years?

- ☐ Rs. 11,664 ☒
 - ☐ Rs. 11,600
 - ☐ Rs. 12,664
 - ☐ Rs. 12,600
-

5. The formula to compute present value of an investment with continuous compounding is:

- ☐ Present Value = Future value/ $e^{(\text{interest rate} \times \text{time in years})}$
 - ☐ Present Value = Future value $\times e^{(\text{interest rate} \times \text{time in years})}$
 - ☒ Present Value = Future value $\times e^{-(\text{interest rate} \times \text{time in years})}$ ☒
 - ☐ Present Value = Future value $\times e^{(\text{interest rate} / \text{time in years})}$
-

6. If interest rate is 7% compounded annually and time period is 4 years, the future value interest factor will be:

- O 1.31 ☒
 - O 1.28
 - O 14
 - O 141
-

7. Which one of the following functions is not performed by the State Bank of Pakistan?

- O Overdraft facility ☒
 - O Custodian of cash reserves
 - O Protector of depositor's interest
 - O Banker to the government
-

8. The role of Development Finance Institutions is to provide funds:

- O All of the given options are correct ☒
 - O To support economic development of countries
 - O For the development of emerging economies
 - O For non-commercial use
-

9. An Islamic banking instrument in which one party buys an asset and sells to another party at a higher price, while sale proceeds are received on an installment basis is called:

- O Musharaka
 - O Modaraba
 - O Murabaha ☒
-

10. The environment that facilitates and ensures the efficient flow of finances between the users and providers is known as financial environment.

- O False
- O True ☒

1. An Islamic banking instrument in which two parties invest money and profit or loss is shared based upon a stipulated ratio is called:

- ☐ X Jara
- ☐ X Murabaha
- ☒ Modaraba
- ☐ X Musharaka

2. Investing activities of a business include(s):

- ☐ X Investment in long term and short term assets
- ☐ X Investment in shares of other companies
- ☒ All of the given options are correct
- ☐ X Investment in short term securities of other companies

3. The role of Development Finance Institutions is to provide funds:

- ☒ All of the given options are correct
- ☐ X For the development of emerging economies
- ☐ X For non-commercial use
- ☐ X To support economic development of countries

4. The formula to calculate present value of perpetuity is:

- ☒ Present Value = Installment amount/interest rate
- ☐ X Present Value = Interest rate/Installment amount
- ☐ X Present Value = Installment amount $\sim$ interest rate
- ☐ X Present Value = Installment amount + interest

5. An Islamic banking instrument in which one party contributes financially, while the other party participates by skills and effort is called:

- ☒ Modaraba
- ☐ X Jara
- ☐ X Musharaka

6. If Rs. 100 is continuously compounded at the rate of 5% for 5 years, then future value of Rs. 100 will be:

- ☒ Rs. 105.7
- ☒ Rs. 127.6
- ☒ Rs. 120

7. Which one of the following statements best describes the simple interest?

- ☒ Interest that remains stagnant in first period
- ☒ Interest applied on the principal amount
- ☒ Interest that gradually grows with time
- ☒ Interest charged only on bank loans

8. The formula to calculate Simple Interest is:

- ☒ Simple interest = Principal amount x (interest rate + time)
- ☒ Simple interest = Principal amount + interest rate + time
- ☒ Simple interest = Principal amount + (interest rate x time)
- ☒ Simple interest = Principal amount x interest rate x time

9. The environment that facilitates and ensures the efficient flow of finances between the users and providers is known as financial environment.

- ☒ True
- ☒ False

10. The institution which is involved in collecting taxes, making regulations for taxes and charging duties on the behalf of the government of Pakistan is:

- ☒ Securities and Exchange Commission of Pakistan
- ☒ Federal Board of Revenue
- ☒ State Bank of Pakistan
- ☒ Pakistan Stock Exchange

Equity is generated through issuance of _____.

- Common shares ☒
- Debentures

- All of the given options
- Equity is generated through issuance of _____.

❓ An Islamic banking instrument in which one party buys an asset and sells to another party at a higher price, while sale proceeds are received on an installment basis is called:

- Musharaka
- Murabaha ☒
- Ijara
- Modaraba

❓ What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 8% is compounded semi-annually?

- 8.16% ☒
- 8.08%
- 4.00%

❓ What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 12% is compounded monthly?

- 12.12%
- 12.68% ☒
- 12.78%

❓ The formula to calculate present value interest factor is (where r is interest rate and n is number of compounding period):

- Discounting factor = $1/(1 + r)^{An}$ ☒
- Discounting factor = $1 \times (1 + r)^{An}$
- Discounting factor = $1/(1 - r)^{An}$
- Compounding factor = $1/(1 + r)^{An}$

❓ If interest rate is 8% compounded annually and time period is 2 years, the present value interest factor will be:

- 0.822
- 0.758
- 1.1664
- 0.9259 ☒

❓ If interest rate is 8% compounded annually and time period is 2 years, the present value interest factor will be:

- 0.857 ✓
- 0.822
- 1.1664
- 0.9259

❓ Which one of the following players is responsible for regulating the business organizations in Pakistan?

- Securities and Exchange Commission of Pakistan ✓
- Federal Bureau of Revenue
- State Bank of Pakistan
- Pakistan Stock Exchange

❓ Ijarah is an Islamic form of leasing where an asset is given by a party as a financing to another party and against that fixed amount of rent is charged.

- Modaraba
- Ijara ✓
- Musharaka
- Murabaha

❓ Financial analysis include(s):

- Risk analysis
- All of the given options are correct ✓
- Cost, Volume and Profit Analysis
- Ratio analysis

❓ Which one of the following factors will change the future value of an investment?

- Increase in time period
- All of the given options are correct ✓
- Decrease in principal amount
- Increase in interest rate

1. The environment that facilitates and ensures the efficient flow of finances between the users and providers is known as financial environment.
- ☐ ☒ False
 - ☐ ☒ True
2. Mere receivables and payables are the assets of a company.
- ☐ ☒ Bonds
 - ☐ ☒ Shares
 - ☐ ☒ Payables
 - ☐ ☒ Receivables
3. While making an amortization schedule, the amount of interest keeps on decreasing with time because:
- ☐ ☒ All of the given options are correct
 - ☐ ☒ Interest rate starts falling with the payment of outstanding loan
 - ☐ ☒ Outstanding loan amount balance decreases due to principal repayment
 - ☐ ☒ Amount of installment considerably varies with time
4. An Islamic banking instrument in which one party contributes financially, while the other party participates by skills and effort is called:
- ☐ ☒ Musharaka
 - ☐ ☒ Mudaraba
 - ☐ ☒ Ijara
 - ☐ ☒ Murabaha
5. The factor that differentiates the net working capital from gross working capital is:
- ☐ ☒ Current assets
 - ☐ ☒ Current liabilities
 - ☐ ☒ Cash and cash equivalents
 - ☐ ☒ Fixed assets
6. We expect to get Rs. 100,000 after 2 years, given that the interest rate is 8%. If the same amount will be received after 4 years rather than 2 years, then:
- ☐ ☒ The present value of Rs. 100,000 will decrease

- ☐ The present value of Rs. 100,000 will remain same
- ☐ The present value of Rs. 100,000 will increase
- ☐ The present value cannot be determined

7. **The advantage(s) of having foreign banks in a country is/are:**

- ☐ It provides sophisticated financial services
- ☒ All of the given options are correct
- ☐ It promotes efficiency in local banks performance
- ☐ It brings in foreign investment in a country

8. **Which one of the following statements does not differentiate the mixed cash flows from annuities?**

- ☐ Two or more annuities after regular intervals
- ☐ Series of equal cash flows after regular intervals
- ☒ Series of unequal cash flows after regular intervals
- ☐ Series of unequal cash flows after irregular intervals

9. **With the help of cash budget, a finance manager can estimate:**

- ☐ Cash balance surplus or deficit in the future period
- ☐ Cash balances at the beginning of a period
- ☒ All of the given options are correct
- ☐ Sources of cash inflows and outflows

10. **Which one of the following statements best describes the simple interest?**

- ☐ Interest that remains stagnant in first period
- ☐ Interest that gradually grows with time
- ☐ Interest charged only on bank loans
- ☒ Interest applied on the principal amount

1. **The rate of interest which is adjusted for shorter period of compounding is called:**

- Real rate of interest
- **Nominal rate of interest** ☒

- All of the given options are correct
- Effective rate of interest

2. **Financial analysis of a company shows:**

- Comparative analysis can only be done within industry
- Absolute analysis is better than relative analysis
- None of the given options is correct ☒
- Risk factor is uncertain and cannot be measured

3. **The future value of an investment can be calculated through:**

- Simple interest only
- Neither simple interest nor compound interest
- **Both simple and compound interest** ☒
- Compound interest only

4. **Higher the frequency of compounding of a rate of interest in a year, higher will be the _____ and lesser will be the _____ of an investment.**

- Present value; Maturity period
- Maturity period; Future value
- Present value; Future value
- **Future value; Present value** ☒

5. **We expect to get Rs. 100,000 after 2 years, given that the interest rate is 8%. If the same amount will be received after 4 years rather than 2 years, then:**

- The present value of Rs. 100,000 will remain same
- The present value cannot be determined
- **The present value of Rs. 100,000 will decrease** ☒
- The present value of Rs. 100,000 will increase

6. **Calculations of gross working capital only consider:**

- Current liabilities
- Long term assets
- **Current assets** ☒
- Long term liabilities

7. The future value of money is different from the present value of money because of:

- ☐ Interest rates variation
- ☒ All of the given options are correct ✓
- ☐ Time difference
- ☐ Change in purchasing power

8. The formula to calculate present value interest factor is (where r is interest rate and n is number of compounding period):

- ☐ Compounding factor = $1/(1 + r)^n$
- ☐ Discounting factor = $1/(1 - r)^n$
- ☐ Discounting factor = $1 \times (1 + r)^n$
- ☒ Discounting factor = $1/(1 + r)^n$ ✓

9. Arranging funds from different available sources for smooth operation of a business is linked with:

- ☐ None of the given options is correct
- ☒ Financing activities ✓
- ☐ Operating activities
- ☐ Investing activities

10. Which one of the following is not the part of working capital of a business?

- ☐ Stores and spares
- ☐ Inventories
- ☒ Fixed assets ✓
- ☐ Accounts receivable

1. The future value of an investment can be calculated through:

- ☒ Both simple and compound interest ✓
 - ☐ Compound interest only
 - ☐ Simple interest only
 - ☐ Neither simple interest nor compound interest
-

2. If Rs. 10,000 are paid at the end of each year for 5 years and FVIFA for this period at the rate of 4% is 5.416, the future value of an ordinary annuity will be:

- Rs. 12,166
 - Rs. 108,320
 - Rs. 54,160 ☒
-

3. Which one of the following statements does not differentiate the mixed cash flows from annuities?

- Series of unequal cash flows after regular intervals
 - Two or more annuities after regular intervals
 - Series of unequal cash flows after irregular intervals ☒
 - Series of equal cash flows after regular intervals
-

4. In receivable management of a business, a financial manager has to:

- All of the given options are correct ☒
 - Design a credit policy by comparing time period of receivables and payables
 - Extend the credit period to promote sales
 - Offer cash discounts for early recovery of receivables
-

5. Working capital is the part of company's investment which is made in:

- Current assets ☒
 - Long term assets
 - Fixed assets
 - Intangible assets
-

6. Higher the frequency of compounding of a rate of interest in a year, higher will be the:

- Maturity period; Future value
- Present value; Maturity period
- Present value; Future value ☒
- Future value; Present value

7. A ____ is created to set aside some amount on regular basis for replacement of assets in future.

- Loan amortization schedule
- Sinking fund ☒
- Current account
- All of the given options are correct

8. While calculating the present value of an annuity due, the first installment is not discounted because:

- It is paid or received at the end of the period
- It is paid or received at the beginning of the period ☒
- It is not possible to estimate first installment
- It is not required to be received or paid

9. With the help of cash budget, a finance manager can estimate:

- Cash balances at the beginning of a period
- Sources of cash inflows and outflows
- Cash balance surplus or deficit in the future period
- All of the given options are correct ☒

10. What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 8% is compounded semi-annually?

- 4.00%
- 8.32%
- 8.08% ☒

1. One of the disadvantages faced by local banks due to presence of foreign banks in a country is:

- Provision of diverse financial services in an economy

- ☐ Decreased control of local banks in an economy ☒
- ☐ All of the given options
- ☐ Easier access to international capital markets for local banks

2. **The future value of perpetuity is infinite because:**

- ☐ Interest rate is infinite
- ☐ Number of installments is finite
- ☐ All of the given options are correct
- ☐ Time period is infinite ☒

3. **An Islamic banking instrument in which one party buys an asset and sells to another party at a higher price, while sale proceeds are received on an installment basis is called:**

- ☐ Murabaha ☒
- ☐ Modaraba
- ☐ Ijara
- ☐ Musharaka

4. **The nominal interest rate is 8% and it is to be applied on semi-annual basis. What will be the equivalent rate of interest?**

- ☐ 3.92%
- ☐ 4% ☒
- ☐ 4.28%
- ☐ 8.32%

5. **What will be the Effective Rate of Interest (ERI), if the nominal interest rate of 10% is compounded quarterly?**

- ☐ 2.50%
- ☐ 10.25%
- ☐ 10.44% ☒

6. **Federal Board of Revenue performs all of the following functions, Except:**

- ☐ Acts as appellate tribunal for tax payers
- ☐ Controlling money supply in Pakistan ☒
- ☐ Levy and collection of direct and indirect taxes

- Designing fiscal policy for Pakistan
7. **What will be the present value, if we get Rs. 5,250 after one year, given that the interest rate is 5% per year?**
- Rs. 4,500
 - Rs. 4,850
 - Rs. 5,000 ☒
 - Rs. 5,150
8. **The formula to calculate present value interest factor is (where r is interest rate and n is number of compounding period):**
- Discounting factor = $1 \times (1 + r)^n$
 - Discounting factor = $1 / (1 - r)^n$
 - Compounding factor = $1 / (1 + r)^n$
 - Discounting factor = $1 / (1 + r)^n$ ☒
9. **Among various functions performed by Securities and Exchange Commission of Pakistan, one is to supervise the chartered accountants.**
- True
 - False ☒
10. **The factor that differentiates the net working capital from gross working capital is:**
- Fixed assets
 - Current liabilities ☒
 - Cash and cash equivalents
 - Current assets

1. The institutions that provide services which may include but not limited to extending loan for social and community benefits, getting involved in joint ventures, providing factoring service and arranging crowd funding are called:

- A) Federal Board of Revenue
- B) Central Banks
- C) Stock Exchange
- D) Securities and Exchange Commission of Pakistan

- ****Correct option****: B) Central Banks

2. Among various functions performed by Securities and Exchange Commission of Pakistan, one is to supervise the chartered accounts.

- A) True

- B) False

- ****Correct option****: B) False

3. All of the following are included in the credit policy of receivable management, Except:

- A) Managing the collection cost of receivable

- B) Stretching the receivable collection period if the payable period is less

- C) Offering cash discounts for early recovery of receivable

- D) Extend the credit period if it promotes sales

- ****Correct option****: A) Managing the collection cost of receivable

4. Which one of the following is not part of the working capital of a business?

- A) Accounts receivable

- B) Inventories

- C) Fixed assets

- D) Stores and spares

- ****Correct option****: C) Fixed assets

5. In receivable management of a business, a financial manager has to:

- A) Design a credit policy by comparing the time period of receivables and payables

- B) Extend the credit period to promote sales

- C) All of the given options are correct

- D) Offer cash discounts for early recovery of receivables

- ****Correct option****: C) All of the given options are correct

6. The use of debt in the capital structure is known as:

- A) Financial leverage
- B) Financial solvency
- C) Factoring
- D) Capital rationing
- ****Correct option****: A) Financial leverage

7. Which one of the following institutions is responsible for the registration and licensing of business organizations?

- A) State Bank of Pakistan
- B) Pakistan Stock Exchange
- C) Federal Bureau of Revenue
- D) Securities and Exchange Commission of Pakistan
- ****Correct option****: D) Securities and Exchange Commission of Pakistan

8. _____ is the distribution of profit.

- A) Interest
- B) Dividend
- C) Bonus
- D) None of the given options
- ****Correct option****: B) Dividend

9. With the help of cash budget, a finance manager can estimate:

- A) Cash balances at the beginning of a period
- B) Cash balance surplus or deficit in the future period
- C) All of the given options are correct
- D) Sources of cash inflows and outflows
- ****Correct option****: C) All of the given options are correct

10. Issuance of _____ give ownership rights.

- A) Debentures
- B) Common shares
- C) All of the given options
- D) Bonds
- ****Correct option****: B) Common shares

1. Federal Board of Revenue performs all of the following functions, Except:

Options:

- Acts as appellate tribunal for tax payers
- Controlling money supply in Pakistan
- Levy and collection of direct and indirect taxes
- Designing fiscal policy for Pakistan

Correct Answer: Controlling money supply in Pakistan

2. _____ is distribution of profit.

Options:

- None of the given options
- Dividend
- Bonus
- Interest

Correct Answer: Dividend

3. _____ is an Islamic form of leasing where an asset is given by a party as a financing to another party and against that fixed amount of rent is charged.

Options:

- Modaraba
- Ijara
- Musharaka

- Murabaha

Correct Answer: Ijara

4. Equity is generated through issuance of _____.

Options:

- Common shares

- Bonds

- Debentures

- All of the given options

Correct Answer: Common shares

5. Investing activities of a business include(s):

Options:

- All of the given options are correct

- Investment in short term securities of other companies

- Investment in long term and short term assets

- Investment in shares of other companies

Correct Answer: All of the given options are correct

6. The institutions that provide services which may include but not limited to extending loan for social and community benefits, getting involved in joint ventures, providing factoring service and arranging crowd funding are called:

Options:

- Stock Exchange

- Central Banks

- Non-Banking Financial Companies

- Federal Board of Revenue

Correct Answer: Non-Banking Financial Companies

7. The use of debt in capital structure is known as:

Options:

- Capital rationing
- Financial solvency
- Financial leverage
- Factoring

Correct Answer: Financial leverage

8. Financial analysis include (s):

Options:

- All of the given options
- Cost, Volume and Profit Analysis
- Risk analysis
- Ratio analysis

Correct Answer: All of the given options

9. Working capital is the part of company's investment which is made in:

Options:

- Fixed assets
- Intangible assets
- Current assets
- Long term assets

Correct Answer: Current assets

10. Those institutions that are not regulated like banks but provide financial services are called:

Options:

- Commercial Banks
- Development Finance Institutions
- Non-Banking Financial Companies

- Federal Board of Revenue

Correct Answer: Non-Banking Financial Companies

MAM MEHWISH 03184148783

👉👉 Paid Vu Lms Handling 👉👉

♦ 1 GDB= Rs 100

♦ 1 Quiz= Rs 200

♦ 1 Assignment=Rs 250

♦ Agr complete handling krwatey hain 1 subject ki with all activities= Rs 500 (Half Semester) ♦

LECTURES Play Service Available In Very Low Price. 📄

👉👉 80-100% Marks Guaranteed 👉👉

👉 Miss Mehwish:03184148783 👉

MAM MEHWISH 03184148783